TEACHER GUIDE

Pearson Edexcel International GCSE in Business (4BS1)

# Product

Section 4
**4.3 The marketing mix · 4.3.1 Product**



A revision lesson. Pupils run a car dealership in firms of four and revise product on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 New model cash flow

Round 1

You have just launched a new model. You advertise it heavily, and few have sold.

**What is its cash flow most likely to be?**

- **A** Positive: no advertising needed
- **B** Positive: sales are at a peak
- **C** Negative: costs exceed sales
- **D** Zero: nothing has sold

**ANSWER**

**✓ Negative: costs exceed sales**

**Why:** At launch, spending on stock and adverts is high and sales are low.

## 2 Extension strategy

Round 1

Sales of an old model fall each month.

**Which two are extension strategies?**

- **A** Add new features or colours
- **B** Raise its price sharply
- **C** Sell it to a new group of buyers
- **D** Stop advertising it
- **E** Withdraw it at once

**ANSWER**

**✓ Add new features or colours**
**✓ Sell it to a new group of buyers**

**Why:** Changing the product or finding new buyers keeps its sales going.

## 3 Life cycle in order

Round 2

Four moments in the life of one model.

**Put them in life-cycle order, first to last?**

- **A** Sales rise fast; rivals copy it
- **B** Sales high but flat; many rivals
- **C** Sales fall; buyers want newer models
- **D** Few buyers know it; heavy adverts

**ANSWER**

1. **Few buyers know it; heavy adverts**
2. **Sales rise fast; rivals copy it**
3. **Sales high but flat; many rivals**
4. **Sales fall; buyers want newer models**

**Why:** Introduction, growth, maturity, decline.

# Topic tasks

## 4 Sales growth %

Round 2

Sales of your newest model.

**Growth from year 2 to year 3, as a %?**

| | |
|---|---|
| Sold in year 1 | **50 cars** |
| Sold in year 2 | **190 cars** |
| Sold in year 3 | **285 cars** |

**ANSWER**

**50%**

(285 − 190) ÷ 190 × 100 = 50%

**Why:** Sales still rising fast: the model is in its growth stage.

## 5 Extend or withdraw

Round 3

Your best-seller's sales are falling, but buyers still like its looks.

**What should you do, and why?**

**A** Extend it: new colours and kit

**B** Withdraw it now

**ANSWER**

**✓ Extend it: new colours and kit**

**Why:** Buyers still like it, so a refresh can extend its life.

## 6 Boston Matrix name

Round 3

Your model has the biggest share of a market that has stopped growing. It brings in steady cash.

**What does the Boston Matrix call it, and why?**

**A** Cash cow: high share, slow market

**B** Question mark: low share, fast market

**C** Star: high share, fast market

**D** Dog: low share, slow market

**ANSWER**

**✓ Cash cow: high share, slow market**

**Why:** A high share of a slow-growing market is a cash cow: it earns more than it needs.

# Final questions

Each pupil answers 6 final questions on product. They come from these 13 questions.

Then each pupil writes one short answer: “Explain why sales are low in the introduction stage.”

1. A dealership lets customers reserve a test drive through its website. Which element of the marketing mix is most directly changed?
   ✔ **Place: the service can now be reached online**

2. A completely new vehicle-care service has just launched and few customers know it exists. Which product life-cycle stage is this?
   ✔ **Introduction**

3. An established service package is losing sales. Which action is a product extension strategy?
   ✔ **Add mobile collection and relaunch it**

4. A dealer promises premium service but has poorly trained staff and unreliable booking. What is the main marketing problem?
   ✔ **The mix does not match the premium position**

5. Promotion promises same-day booking, but the website shows no slots and a different price. What should the dealer fix first?
   ✔ **Make availability, price and the promise consistent**

6. The Sales lead sets a premium price but promotion promises “the cheapest basic option” and service is minimal. What is wrong?
   ✔ **Price, promotion and service clash**

7. A van model has been on sale six years. Sales have fallen three years running and a replacement is announced. Which life cycle stage is this?
   ✔ **Decline**

8. A new electric model has just been launched. What is usually true at this introduction stage of its life cycle?
   ✔ **Sales are low and promotion costs are high**

9. Sales of a popular hatchback are rising fast, and more buyers ask for it every month. Which stage of the product life cycle is it in?
   ✔ **Growth**

10. Sales of an older diesel model have fallen for three years in a row. Which stage of the product life cycle is it in?
    ✔ **Decline**

# Final questions

**11** A family car has sold well for years. Its sales are high but have stopped rising. Which stage of the product life cycle is it in?

✔ **Maturity**

**12** Sales of a small hatchback are falling. Which of these is an extension strategy for it?

✔ **Launching a new version with extra features**

**13** Why does a car maker use an extension strategy on a model whose sales are falling?

✔ **To keep sales going for longer**